

Banking Customer and Loans Business Analysis Report

Executive Summary

This analysis investigated customer banking activity, account balances, transaction behaviour and lending performance to identify patterns that could support better business decision-making. The analysis used contains 1,500 customers, 2,100 accounts, 15,000 transactions, 900 loans and 6,000 loan-payment data, with the findings presented through a static dashboard and supporting pivot tables.

The analysis shows that the bank has a strong base of customer deposits, with total account balances of approximately R62.3 million. Savings accounts hold the largest share of these balances, contributing approximately R31.1 million, or 50% of total account balances. Customer transaction activity is also increasingly concentrated in digital channels, with the Mobile App generating the highest transaction value at approximately R6.6 million, followed by Online Banking at R4.7 million.

Lending represents another significant area of activity. The bank issued or processed 900 loan applications with a combined value of approximately R153.7 million. Personal loans represent the largest lending segment at approximately R51.3 million, followed by Home loans at R34.0 million. However, loan demand fluctuates considerably throughout the year, with June recording the highest monthly loan value of approximately R21.5 million, compared with approximately R8.4 million in September.

The most important risk finding relates to loan repayment behaviour. While approximately 81.8% of payments are made on time, 13.6% are late and a further 4.7% are missed. This means that approximately 18.2% of payments are not made on time, creating a meaningful credit-risk and collections concern.

Overall, the findings suggest that the bank should continue investing in digital banking channels and deposit products while using customer and lending trends to target loan products more effectively. At the same time, the relatively high proportion of late and missed payments indicates a need for stronger early-warning and collections strategies. The bank should particularly focus on understanding which customer, loan-type and geographic segments are contributing most to repayment risk before expanding lending aggressively.

Findings

Account Balances by City

- Cape Town has the highest total account balance at approximately R7.0 million, followed by Pretoria at approximately R6.6 million and Mbombela at approximately

R6.6 million. Polokwane has the lowest balance at approximately R5.4 million, followed by Kimberley at approximately R5.5 million.

- Although the differences between cities are not extremely large, the results indicate that customer deposit value is not evenly distributed geographically.

Business implication

- The bank could use geographic differences in account balances to identify areas with stronger deposit potential. Cities with higher balances may provide opportunities for premium banking, investment products and customer retention campaigns.
 - Lower-balance markets should not automatically be considered weaker markets, however. Lower balances could reflect differences in customer income, account penetration or customer demographics. Further analysis of income, employment status and customer numbers by city would therefore help determine whether these markets represent genuine growth opportunities.
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Transaction Activity by Banking Channel

- The Mobile App generated approximately R6.6 million in transaction value, making it the strongest channel. Online Banking generated approximately R4.7 million, while POS transactions generated approximately R4.2 million. ATM transactions contributed approximately R3.3 million and Branch transactions approximately R2.0 million.
- The Mobile App also recorded the highest transaction volume, with approximately 4,869 transactions compared with 3,384 through Online Banking.

Business implication

- The strong performance of the Mobile App indicates that customers are increasingly comfortable using digital banking channels. This provides an opportunity for the bank to shift more routine banking activity towards digital platforms.
 - The bank should therefore continue improving mobile functionality, reliability and customer experience. Digital channels could also be used to promote relevant products, provide personalised offers and communicate with customers at lower cost than relying heavily on physical branches.
 - The lower transaction activity through branches may also indicate an opportunity to optimise branch resources and focus physical locations on higher-value services such as financial advice, lending and relationship management rather than routine transactions.
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Loan Demand Over the Year

- Loan demand varies substantially by month. June recorded the highest loan value at approximately R21.5 million, followed by March at approximately R17.3 million. April and May also recorded relatively strong demand.
- In contrast, September recorded the lowest loan value at approximately R8.4 million, followed by October at approximately R8.8 million.
- The difference between the strongest and weakest months suggests that loan demand is not consistent throughout the year.

Business implication

- The seasonal pattern in lending activity could help the bank improve planning and marketing.
 - Periods of stronger demand, particularly around March to June, may require greater operational capacity for application processing, credit assessment and customer support. The bank could also plan targeted campaigns before periods of historically strong demand.
 - Lower-demand periods could be used for retention campaigns, refinancing offers or targeted promotions designed to stimulate appropriate lending activity.
 - However, the bank should avoid interpreting high loan volumes as automatically positive. Loan growth needs to be considered alongside repayment performance and credit risk.
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Loan Demand by Loan Type

- Personal loans represent the largest lending category, with approximately R51.3 million in loan value. Home loans follow at approximately R34.0 million, while Vehicle loans account for approximately R25.7 million.
- Business loans contribute approximately R25.0 million, while Education loans are the smallest category at approximately R17.6 million.
- Personal loans therefore account for roughly one-third of the total loan value in the dataset.

Business implication

- The strong demand for personal loans represents an important revenue opportunity for the bank. However, personal lending should be carefully managed because strong demand does not necessarily mean that the segment has the lowest credit risk.
 - The bank should compare loan type against repayment behaviour, interest rates and customer characteristics before increasing lending in a particular category. For example, identifying which loan products have the highest late or missed-payment rates would help the bank determine where growth can be pursued safely.
 - Home, vehicle and business lending also provide opportunities for targeted product strategies rather than treating all borrowers as one market.
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Loan Demand by City

- Kimberley has the highest loan value at approximately R18.4 million, followed by Polokwane at approximately R17.5 million and East London at approximately R17.4 million.
- Gqeberha has the lowest loan value at approximately R12.3 million, followed closely by Pretoria at approximately R12.4 million and Durban at approximately R12.7 million.
- An interesting observation is that the cities with the highest loan demand are not necessarily the cities with the highest account balances. For example, Cape Town has the highest account balance but is not the highest loan-demand market.

Business implication

- This difference between deposit activity and borrowing activity could help the bank develop more targeted regional strategies.
 - Markets with high deposits may offer opportunities for savings, investment and premium banking products, while markets with high loan demand may provide stronger opportunities for lending products.
 - The bank should therefore avoid using a single strategy across all cities. Regional customer behaviour can be used to tailor product marketing and customer acquisition strategies.
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Loan Repayment Risk

Approximately:

- 81.8% of payments were made on time
- 13.6% were late
- 4.7% were missed

Although the majority of payments are made on time, approximately 18.2% are either late or missed. This is significant because repayment behaviour directly affects the bank's credit risk and the quality of its lending portfolio.

Business implication

- The bank should not only focus on increasing loan applications and loan value. It should also monitor the quality of the loan portfolio.
- The proportion of late and missed payments suggests that early intervention could be valuable. Customers showing signs of repayment difficulty could potentially be identified earlier and contacted before their payment behaviour deteriorates further.

The bank could consider:

- Early-warning indicators for customers approaching repayment difficulties

- Automated payment reminders through digital channels
- Personalised repayment communication
- Direct-debit or automated-payment options
- Customer affordability assessments
- More detailed monitoring of repayment performance by loan type and customer segment

The bank should also investigate whether late and missed payments are concentrated within particular loan types, cities, employment groups or income bands. This would allow credit-risk strategies to become more targeted.

Recommendations

Strengthen Digital Banking

- The Mobile App is the strongest transaction channel in the analysis. The bank should continue investing in its mobile platform and use it as a central channel for customer engagement.
 - This could include improving digital self-service, personalised product recommendations, payment reminders and targeted loan or savings offers.
 - This could promote greater customer engagement, lower dependence on branches for routine transactions and increased opportunities for digital cross-selling.
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Develop Targeted Lending Strategies

- Personal loans account for the largest share of lending activity. Rather than applying the same strategy across all loan products, the bank should assess demand and repayment performance by loan type.
 - Products with strong demand and acceptable repayment performance could receive greater marketing attention, while higher-risk segments should receive closer monitoring.
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Introduce Stronger Early-Warning Measures for Repayment Risk

- With approximately 18.2% of payments classified as late or missed, repayment behaviour should be actively monitored.
- The bank should identify customers showing early signs of repayment difficulty and use digital communication to intervene before accounts become more seriously delinquent.

Use Geographic Segmentation

- Loan demand and account balances vary across cities. The bank should use these differences to tailor its regional strategy.
- For example, high-deposit cities could be targeted for investment and wealth-building products, while high-loan-demand cities could receive more focused lending campaigns.
- This could promote more efficient allocation of marketing resources and better alignment between products and local customer needs.

Plan Around Seasonal Loan Demand

- Loan demand peaks during certain months, particularly June. The bank could use historical patterns to anticipate staffing and processing requirements and plan marketing campaigns accordingly.
- Lower-demand periods could be used to focus on customer retention, refinancing and targeted acquisition campaigns.

Conclusion

The Banking Customer and Loans analysis demonstrates how customer, account, transaction and lending data can be used to identify both growth opportunities and financial risks.

The strongest opportunities are found in the bank's savings customer base, digital banking activity and demand for personal and other lending products. However, the repayment analysis highlights that loan growth should be accompanied by stronger risk monitoring, as approximately 18.2% of payments are late or missed.

The most important business implication is therefore that the bank should pursue data-driven, risk-aware growth rather than focusing solely on increasing transaction or loan volumes. By strengthening digital engagement, targeting lending more effectively, using geographic and seasonal patterns in planning, and intervening earlier with customers showing repayment difficulties, the bank can improve both customer value and the sustainability of its lending portfolio.

Analysis Limitations

This analysis is based on the available dataset and the static dashboard and pivot-table outputs. The dashboard does not provide interactive filtering, so the findings describe overall

patterns retrieved from SQL analysis rather than allowing users to dynamically investigate individual customer segments.

In addition, the analysis identifies relationships and patterns in the available data but does not establish causation. Further analysis would be required to determine why certain cities, loan types or customer groups demonstrate different behaviours.